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What's News

Business & Finance

◆ **Trade tensions battered** U.S. markets again, helping to drive the Nasdaq down 2.6% into correction territory, while the S&P 500 and Dow shed 1.8% and 1%, respectively. **A1**

◆ **Walgreens agreed** to be sold to private-equity firm Sycamore for \$10 billion, after years of neglecting to keep up with customers' preference to buy online and failing to navigate healthcare cost pressures. **A1**

◆ **The Japan-based owner** of the 7-Eleven chain said it would spin off its North American convenience stores into a separate listed company. **B1**

◆ **Supermarket chain** Kroger said it is working to shift its purchasing of produce and other products to avoid the Trump administration's tariffs. **B1**

◆ **Trump signed** an executive order officially establishing a strategic bitcoin reserve and a stockpile for other cryptocurrencies. **A4**

◆ **Macy's said it expects** sales to decline again this year as even affluent customers wait to see how tariffs and inflationary pressures hit the economy. **B3**

◆ **HPE approved** a cost-reduction program that includes job cuts, as the company said it expects fiscal 2025 profit to be dragged down in part by tariffs. **B3**

◆ **A group of EU lawmakers** wrote to top U.S. officials to rebut accusations that the bloc is using its digital competition rules to treat American tech giants unfairly. **B4**

◆ **Universal Music** had higher revenue in the fourth quarter after growth from subscriptions and streaming services beat analysts' expectations. **B4**

World-Wide

◆ **The U.S. partially** pulled back tariffs on some goods from Mexico and Canada, the latest of trade-policy swerves that are straining relations with allies and raising recession fears. **A1**

◆ **A second federal judge** indefinitely blocked Trump's freeze on federal grants and loans, saying that the White House had put itself above Congress and undermined democracy. **A3**

◆ **Trump won a battle** in his campaign to expand control over the federal workforce, after a fired government ethics watchdog ended legal efforts to keep his job. **A3**

◆ **Rep. Al Green** was censured by the Republican-led House after the Texas Democrat disrupted Trump's address to Congress by gesturing and shouting a slogan. **A5**

◆ **Trump's Middle East** envoy floated the threat of joint U.S.-Israel action against Hamas if the group didn't release all hostages from Gaza. **A7**

◆ **Five Democratic senators** asked the Justice Department to investigate whether Musk is using his influence in the Trump administration to bully advertisers to return to X. **A4**

◆ **Sen. Tim Scott** introduced a bill that would end regulatory oversight of reputational risks to banks, calling it a first step toward ending discrimination against clients. **A5**

◆ **South Korean jet fighters** preparing for joint drills with the U.S. mistakenly dropped eight bombs just outside Seoul, injuring at least 15 people and destroying buildings. **A16**

◆ **Died: Roy Ayers**, 84, celebrated jazz musician. **A6**

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Trump Pares Tariffs as Stocks Plunge

Goods covered by countries' trade deal get reprieve; levies in effect for others

The U.S. partially pulled back tariffs on some goods from Mexico and Canada after markets sank and companies

By Gavin Bade in Washington, Vipal Monga in Toronto and Santiago Pérez in Mexico City

lobbied President Trump, as the swerving trade policy strained relations with allies and raised recession fears.

Trump gave the U.S.'s neigh-

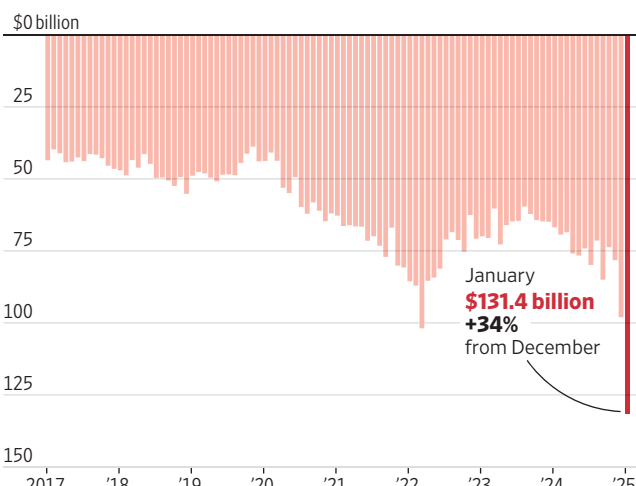
bors and biggest trading partners a one-month reprieve from 25% tariffs on a range of goods, setting up another trade showdown for April 2. It was the second time in a month that Trump retreated from tariffs on Mexico and Canada, highlighting the uncertainty of his trade policies as he raises duties on Chinese goods and moves ahead with plans for tariffs imposed on a host of countries next month.

Thursday's respite doesn't end trade tensions in North America and there are goods that will continue to be hit with new taxes because they

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◆ **Greg Ip: 'Golden age' begins with trade war.... A2**

U.S. trade deficit in goods and services, monthly



Note: Seasonally adjusted
Source: Commerce Department

Nasdaq sinks into correction territory as trade tensions weigh on markets

By Hannah Erin Lang and Angus Berwick

Trade tensions battered markets again Thursday, as traders and portfolio managers grappled with fears that policy volatility will weigh on U.S. economic performance.

Declines were broad-based, with financial and tech stocks notching some of the largest losses. The dollar weakened, heading for its lowest close since election day and its worst four-day stretch since 2022. Investors continued their flight from some of the artificial intelligence shares that only two months ago were market favorites.

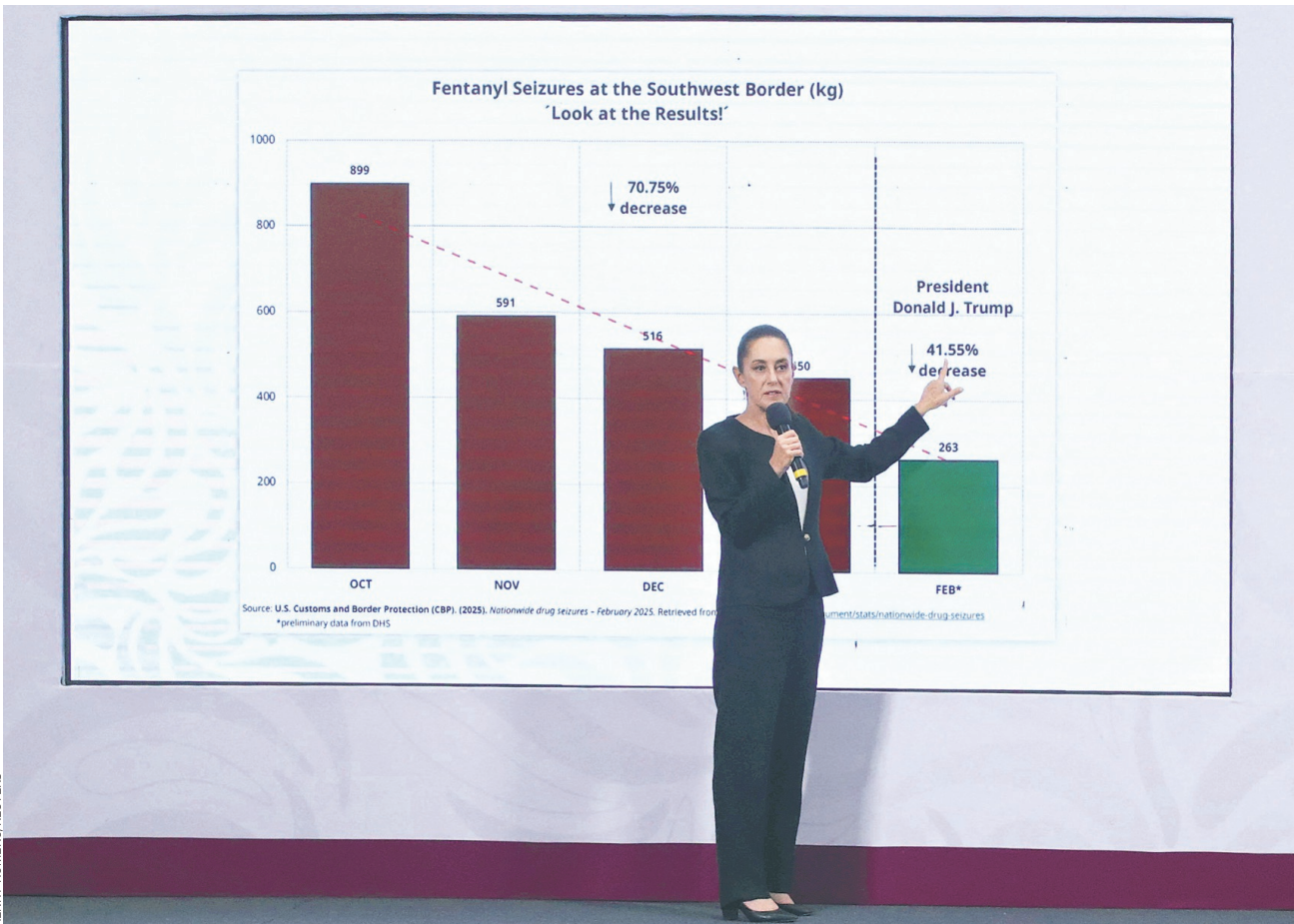
The Nasdaq Composite sank 2.6% and entered correction territory, marking a decline of 10% or more from a recent peak. The S&P 500 fell 1.8%, and the Dow Jones Industrial Average fell 1%.

Selling has mostly been orderly in part because many analysts and investors had viewed a market reset period as being inevitable, following a sharp late-2024 rally. Even so, sentiment has been hurt by the constant changes in recent weeks in the White House's tariff policy, which many contend are bad for markets because they weigh on consumer spending and introduce further uncertainty into business decisions.

This week has been a roller coaster in its own right. U.S. import duties took effect Tuesday, surprising some market watchers who had

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◆ **What tariff reprieve means for automakers... B1**
◆ **Heard on the Street: What if U.S. is downgraded?... B10**



Mexican President Claudia Sheinbaum on Thursday pointed to cooperation with the U.S. on the drug fight as she criticized tariffs.

Tesla's Fortunes Fall While Musk Rises in Politics

CEO's involvement with Trump erodes brand's appeal among some core buyers; 'I used to idolize the guy'

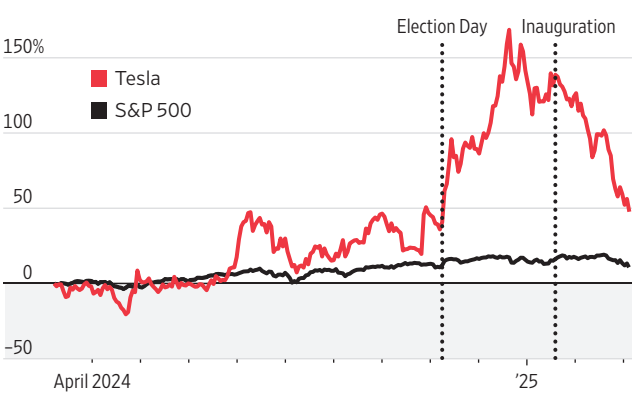
By Becky Peterson and Sean McLain

Few brands have their image as closely tied to their CEO as Tesla. For most of the electric-car maker's history, that was good for business.

Elon Musk's pledge to reduce the world's reliance on fossil fuels and his push to broaden the appeal of electric cars attracted legions of buyers looking to make a statement—to declare their allegiance to his grand vision of techno-environmentalism.

Now that Musk has allied himself with Donald Trump and plunged into the deep end of national politics, many Tesla owners and

Share-price and index performance over the past year



Source: FactSet

would-be buyers are asking themselves what kind of statement it makes to get behind the wheel of a Tesla these days. Such doubts

have begun showing up in worrisome numbers for the company.

Garth Ancier, a TV executive from Los Angeles, re-

called discussing more than a year ago with two fellow owners what it felt like to be seen in a Tesla. "They said, 'You know, I'm getting uncomfortable driving this car around because it's like driving a big red MAGA hat,'" Ancier said.

Now Ancier wants to sell his 4-year-old Model X. "If not for his behavior, I'd probably stick with a Tesla."

Tesla, the nation's largest producer of electric vehicles by far, has long led the auto industry in consumer loyalty, and surveys show many owners have no intention of abandoning the brand now. Yet recent polling shows that the brand's appeal has been eroding, and sales data suggest it has begun taking

a financial toll.

Back in 2022, before Musk waded into presidential politics, automotive consulting firm Strategic Vision found that 22% of car shoppers surveyed said they would "definitely consider" a Tesla for their next vehicle purchase. That put Tesla on par with other luxury car brands such as Mercedes-Benz and BMW, said Alexander Edwards, the firm's president.

By last summer, that percentage had dropped to 7%—roughly in line with Lincoln and Dodge—and it has stayed there, a precipitous decline that is rare in the

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◆ **Senators call for DOJ probe of Musk's X..... A4**

A New Generation Is Here. Its Name Is Already an Insult.

Parents of the newly minted Beta babies are navigating an awkward association

By Ann-Marie Alcántara

Most generations get a reputation once they can talk and walk about in the world. The newest cohort already has a bad rap, and they haven't even started eating solids.

Generation Beta officially arrived on Jan. 1, successors to Gen Alpha. While the name follows the conventions of the Greek alphabet, its connotation is less scholarly and more sus for some young parents and every school-age child. Beta is commonly used as slang for weak and passive.

The man responsible for this awkward moniker is Mark McCrindle, a social researcher and demographer who also coined Gen Alpha. His use of Greek letters was meant to be

systematic and scientific, he said. Not descriptive, or suspicious.

The terms have "no inherent meaning," said McCrindle, "yet people have laden these labels with characterizations."

Thankfully for parents, those people are mostly under the age of 14. Walk through any elementary or middle school, and you'll hear Gen Alpha throwing around beta (an insult) and sigma (a compliment)—both terms part of a broad and evolving lexicon known as "brain rot."

Still, beta's slang roots run deep: Over the past two decades, as the so-called manosphere began to coalesce, alpha became a label for a conventionally handsome man

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INSIDE



BUSINESS & FINANCE
7-Eleven to split U.S. stores and buy back shares to prevent takeover. **B1**



MANSION
Can private skiing lure wealthy home buyers to the top of a remote mountain? **M1**

Once-Giant Walgreens Sold as Salvage Project

By Joseph Walker

Not much has gone right for Walgreens Boots Alliance in the past decade.

Customers bought more and more household items online at sites such as Amazon.com, instead of Walgreens's more than 8,000 stores across the U.S. The pharmacy chain signed deals with other drug suppliers and doctor's offices, but stood pat while rivals, including CVS and Express Scripts, merged with big health insurers, gaining control of the medical-reimbursement purse strings that were squeezing pharmacies.

Walgreens's cash flow sagged, its debt piled up and shares sank. On Thursday, Walgreens agreed to be sold to private-equity firm Sycamore for \$10 billion, down a staggering 91% from its \$106 billion peak in 2015.

The storied pharmacy chain—which became a ubiquitous seller of everything from diabetes injections to nail files as retailers consolidated across the U.S.—fell after it neglected to keep up with customer preference to buy online and failed to navigate the fierce competition and intense cost pressures of healthcare.

It could shrink more after its sale. Sycamore, a New York-based firm that specializes in retail and consumer investments and, more recently, is better known for smaller deals, is expected to sell off pieces of the business or work with partners to turn it around, The Wall Street Journal has reported.

The transaction ranks as one of the largest leveraged buyouts in the past decade.

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